

7-2f Monitoring

Monitoring the internal control system is used to locate weaknesses and improve controls. Monitoring often includes observing employee behavior and the accounting system for indicators of control problems. Some such indicators are shown in [Exhibit 7](#).

Exhibit 7

Warning Signs of Internal Control Problems



Warning signs with regard to people

- Abrupt change in lifestyle (without winning the lottery).
- Close social relationships with suppliers.
- Refusing to take a vacation.
- Frequent borrowing from other employees.
- Excessive use of alcohol or drugs.



Warning signs from the accounting system

- Missing documents or gaps in transaction numbers (could mean documents are being used for fraudulent transactions).
- An unusual increase in customer refunds (refunds may be phony).
- Differences between daily cash receipts and bank deposits (could mean receipts are being pocketed before being deposited).
- Sudden increase in slow payments (employee may be pocketing the payments).
- Backlog in recording transactions (possibly an attempt to delay detection of fraud).

Evaluations of controls are often performed when there are major changes in strategy, senior management, business structure, or operations. Internal auditors, who are independent of operations, usually perform such evaluations. Internal auditors are also responsible for day-to-day monitoring of controls. External auditors also evaluate and report on internal control as part of their annual financial statement audit.

Link to eBay

eBay reduces fraudulent activities by restricting or suspending buyers and sellers with questionable transaction histories.

